FICTIONAL PROTOTYPE · Fictional organisation · Test-fixture figures, not an approved score · Not a certified paid report

MK FRAUD INSIGHTS

ESSENTIAL FRAUD READINESS REPORT

On its own answers, the organisation reports the controls in place for 102 of the 106 fraud scenarios that apply and a control reported as a gap in 4; 1 has answers to settle and 5 raise questions the answers do not settle.

CALCULATED TEST RESULT
87.8 of 100, test fixture

UNRESOLVED INCONSISTENCIES
1 to settle; 5 to clarify

PROVISIONAL MANAGEMENT INTERPRETATION
4 with a control reported as a gap

APPROVED READINESS CONCLUSION
None issued

PREPARED FOR

Fictional Retail Group (overstated confirmations)

Assessment reference · FX-P6b

Assessment date · 12 November 2026

CONFIDENTIAL · PREPARED FOR THE MANAGEMENT OF FICTIONAL RETAIL GROUP (OVERSTATED CONFIRMATIONS)

WHAT DOES THE ASSESSMENT ESTABLISH?

What the assessment establishes

CALCULATED TEST RESULT

87.8 of 100, test fixture

From a research simulation of the draft method, kept for traceability. It is not a score, a maturity band or a readiness level.

UNRESOLVED INCONSISTENCIES

1 to settle; 5 to clarify

1 scenario has answers that cannot both be right. A further 5 scenarios raise questions the answers do not settle. Until they are settled, the controls concerned are not treated as covering their scenarios.

PROVISIONAL MANAGEMENT INTERPRETATION

4 with a control reported as a gap

On its own answers, the organisation reports the controls that stop the scenario in place for 102 of the 106 fraud scenarios that apply, of which 6 are unresolved or open to question, and a control reported as a gap in 4. This reads self-reported answers; nothing has been tested.

APPROVED READINESS CONCLUSION

None issued

MK has not approved a readiness method, band or threshold, so no readiness conclusion is drawn from the answers or from the calculated test result.

106 fraud scenarios apply to the organisation. The core and breadth stages are complete: 108 of the 108 confirmations that apply were answered, and no question is outstanding. Area figures below are calculated test results from the same research simulation, shown in the method's order; they are not scores and do not rank the areas.

Calculated area figures (test fixtures)



Areas in the method's order. Each figure is a calculated test result from a research simulation of the draft method: not a score, a band or a ranking.

WHAT DO THE ANSWERS SHOW?

What the answers show

PATTERN	ASSESSMENT SIGNALS	WHY IT MATTERS
AI-enabled schemes are not considered: answers to settle	AI-enabled fraud covered **In place** AI methods tested per process **Not in place**	The answers about AI-enabled fraud cannot both be right as given: one says AI-enabled schemes are assessed for every relevant process, the other that, for high-risk processes, the assessment does not ask how AI could be used against them.
Risks above tolerance are left without action: a question to clarify	Response decided **In place** Likelihood and impact rated **Not in place**	A response is reported as decided for every risk above tolerance, while rating each risk for likelihood and harm is reported as not in place. Risks above tolerance can be identified without ratings, but the answers do not say how this is done.
Invoices are paid for goods or services not received or not agreed: a question to clarify	Three-way match **In place** Receipt recorded before payment **Partly in place**	Every invoice is reported as checked against an approved order and a confirmation of receipt before payment, while recording receipt of goods before payment is reported as partly in place. The check may rely on another confirmation where receipt is not recorded; the answers do not say which.
Ethics, integrity and anti-corruption: 1 scenario with a control reported as a gap	Recipients checked for links **Partly in place**	A payment to a cause linked to a decision-maker buys influence.
15 scenarios: control in place, a related practice weaker	Owner has authority across the organisation **Not in place** Management owns the results **Not in place** Assessment documented **Partly in place**	Where the relationship has been reviewed, the related practice is a further defence and the reported control stands as given. Where it has not, nothing is concluded from it. Each pair is in the register.

THE PATTERN THAT MATTERS

Where a control was reported fully in place and a related practice of the same scenario weaker, the two answers were compared using MK's reviewed relationships: 56 pairs in 21 scenarios. In 1 the answers cannot both be right, in 5 the answers leave a question open and 49 pairs are further defences and the reported control stands as given. Separately, 10 of 67 controls that can be cross-checked were asked one further question; these compare the organisation's own answers, are not tests of operation and change no figure. 3 further scenarios raise questions to clarify, listed in the register. 3 further areas have scenarios with a control reported as a gap, listed in the register.

WHICH FRAUD SCENARIOS DO THE ANSWERS POINT TO?

Fraud scenarios the answers point to

FRAUD SCENARIO	ASSESSMENT BASIS	POTENTIAL CONSEQUENCE	INTERRUPTION POINT	WHY IT IS INCLUDED
AI-enabled schemes are not considered Deepfake instructions, synthetic identities and generated documents are missing from management's view of fraud risk.	AI-enabled fraud covered **In place** AI methods tested per process **Not in place**	These schemes defeat controls that rely on recognising a person or a document.	Settling which answer is right; the register then gives the target practice for each control	**Answers to settle** The answers must be settled before the scenario is treated as covered.
Risks above tolerance are left without action Assessment results do not change controls, audit work or training.	Response decided **In place** Likelihood and impact rated **Not in place**	The method links it to effort and audit work not directed at the highest fraud risks.	Without likelihood and harm ratings, how does management identify which fraud risks are above tolerance and need a decided response?	**Question to clarify** The answers leave open whether the reported control covers the scenario.
Invoices are paid for goods or services not received or not agreed Overbilling, fictitious deliveries or inflated rates are paid.	Three-way match **In place** Receipt recorded before payment **Partly in place** Services confirmed **Not in place**	Invoices paid without checking approval and receipt are how overbilling and fictitious deliveries get paid.	For deliveries where receipt is not recorded before the invoice is paid, what confirmation of receipt does the invoice check rely on, and who gives it?	**Question to clarify** The answers leave open whether the reported control covers the scenario.
Donations or sponsorships channel bribes A payment to a cause linked to a decision-maker buys influence.	Recipients checked for links **Partly in place**	The method links it to donations and sponsorships used as disguised bribes and undeclared conflicts of interest steering decisions.	Recipients of donations and sponsorships are checked for links to officials, customers and employees before money is committed	**Control partly in place** The control that stops it is reported as a gap.
Procurement anomalies are never noticed Patterns such as splitting or duplicates go unseen.	Senior review of supplier payments **Partly in place**	Patterns such as splitting or duplicates go unseen.	A senior manager who does not process payments reviews each month's supplier payments and follows up each query	**Control partly in place** The control that stops it is reported as a gap.

Included: every scenario whose answers must be settled or clarified (up to three), then one scenario with a control reported as a gap from each area, in the method's order, up to five in all. Inclusion and order are not a ranking: MK has not approved a method for rating fraud risks, and every scenario is in the register.

HOW COULD THESE SCENARIOS OCCUR?

How these scenarios could occur here

AI-enabled schemes are not considered

AI-enabled schemes are not considered › AI-enabled fraud covered in place; AI methods tested per process not in place › AI-enabled fraud not anticipated

Deepfake instructions, synthetic identities and generated documents are missing from management's view of fraud risk. These schemes defeat controls that rely on recognising a person or a document. Here, the answers about AI-enabled fraud cannot both be right as given: one says AI-enabled schemes are assessed for every relevant process, the other that, for high-risk processes, the assessment does not ask how AI could be used against them.

Interrupted by: Establishing which answer is right. Until then, the scenario is not treated as covered.

Warning signs: AI-enabled fraud not anticipated

Risks above tolerance are left without action

Assessment results do not change controls, audit work or training › Response decided in place; likelihood and impact rated not in place › Effort and audit work not directed at the highest fraud risks

Assessment results do not change controls, audit work or training. Here, a response is reported as decided for every risk above tolerance, while rating each risk for likelihood and harm is reported as not in place. Risks above tolerance can be identified without ratings, but the answers do not say how this is done.

Interrupted by: Answering the open question: without likelihood and harm ratings, how does management identify which fraud risks are above tolerance and need a decided response?

Warning signs: Effort and audit work not directed at the highest fraud risks

Invoices are paid for goods or services not received or not agreed

Overbilling, fictitious deliveries or inflated rates are paid › Three-way match in place; receipt recorded before payment partly in place › Duplicate or false invoices

Overbilling, fictitious deliveries or inflated rates are paid. Invoices paid without checking approval and receipt are how overbilling and fictitious deliveries get paid. Here, every invoice is reported as checked against an approved order and a confirmation of receipt before payment, while recording receipt of goods before payment is reported as partly in place. The check may rely on another confirmation where receipt is not recorded; the answers do not say which.

Interrupted by: Answering the open question: for deliveries where receipt is not recorded before the invoice is paid, what confirmation of receipt does the invoice check rely on, and who gives it?

Warning signs: Duplicate or false invoices · Goods or services paid for but not received

These are illustrative exposure mechanisms for an organisation with the controls it reported. They are not allegations that any event has occurred, and their order is not a ranking.

WHAT SHOULD MANAGEMENT ADDRESS?

Management matters requiring attention

MANAGEMENT OUTCOME	WHY NOW	ACCOUNTABLE	WHAT GOOD LOOKS LIKE
Settle the answers for 1 scenario	1 scenario has answers that cannot both be right. Until settled, none of them is treated as covered.	Fraud risk lead	The answers for each scenario agree with each other and with how the process runs, so the reported control can be relied on.
Answer the 5 open questions	For 5 scenarios the answers leave open whether the reported control covers the scenario. This is not a finding that the control fails; the register states each question.	Fraud risk lead, finance lead and HR and payroll lead	Each question has a written answer from the person who runs the process, added to the assessment record.
Name an owner for each area and decide the order of work	MK has not approved a method for rating fraud risks, so this report does not rank the 4 scenarios with a gap. Their order is management's decision, made on explicit factors.	Chief executive	Each area has one accountable executive, and the order of work is recorded with its factors: the control's position, whether money or goods can leave, activity volume, detective cover and controls shared.
Put in place: recipients checked for links	It stops the scenario where donations or sponsorships channel bribes. The control is reported as partly in place.	Ethics lead	Before any donation or sponsorship is committed, the recipient is checked for links to public officials, customers' decision-makers and employees, and any link found is disclosed and approved.
Put in place: senior review of supplier payments	It stops the scenario where procurement anomalies are never noticed. The control is reported as partly in place.	Finance lead	Each month a senior manager who does not process payments reviews the list of supplier payments for unfamiliar suppliers, unusual amounts and changed bank details, and follows up each query.

Listed in the order the work depends on: facts and decisions first, then the controls for the scenarios above, in the method's area order. The list is not a risk ranking.

WHAT COULD THE FIRST 90 DAYS COVER?

Proposed stages for the first 90 days

These are proposed planning stages for starting the work, not deadlines, contractual dates or estimates. Each window shows when a stage could begin once what it depends on is known and decided. How long a control takes to design, put in place and show to be operating depends on the organisation, and management sets its own dates.

30 days, proposed: establish the facts and owners

PROPOSED WINDOW · 0–30 DAYS

Answers that conflict are settled, open questions and outstanding answers are answered, and each area with open scenarios has an accountable executive.

Settle the answers for 1 scenario and answer the 5 open questions. — Fraud risk lead and finance lead

A settled answer, or a written answer to each question, added to the assessment record.

Complete when: The answers for each scenario agree with how the process runs.

Name the accountable executive for each area, and decide the order of work using explicit factors. — Chief executive

Named executives and a recorded order of work, with the factors behind it.

Complete when: Every open scenario is selected, deferred with a reason or accepted at the right level.

60 days, proposed: approve designs and begin

PROPOSED WINDOW · 31–60 DAYS

Approved designs exist for the controls management selected, and the first are being put in place.

Approve the target design for each selected control, using the target practice, records and measure in the register, and begin putting the first designs in place. — Each accountable executive

Approved designs, each with an owner and the records it will keep.

Complete when: Each selected control has an approved design and a named owner.

90 days, proposed: start operating and report

PROPOSED WINDOW · 61–90 DAYS

The first approved controls have started operating and the oversight body has the status of every open scenario. Whether a control works is known only after its first full cycle, which for many controls ends after 90 days.

Start operating the approved designs, and begin each control's first full operating cycle. — Each process owner

A start date and an operating record for each control.

Complete when: Each control has started operating; its success measure is checked when its first full cycle ends.

Report the status of each open scenario to the board. — Chief executive

A one-page status per scenario: owner, controls in place, controls outstanding, next step.

Complete when: The status is received and minuted.

HOW WILL MANAGEMENT KNOW THE WORK IS TAKING EFFECT?

What to check at the 90-day point

MEASURE	POSITION TODAY	90-DAY EXPECTATION
Scenarios with answers to settle	1.	None: each settled, with the corrected answer recorded.
Open questions	5.	Each answered in writing and added to the assessment record.
Recipients checked for links	Recipients checked for links: partly in place.	Design approved and operating started. After its first full cycle: every donation or sponsorship in the period has a donation approval file showing the link checks completed and approved before money was committed.
Senior review of supplier payments	Senior review of supplier payments: partly in place.	Design approved and operating started. After its first full cycle: the review of supplier payments ran monthly throughout the period, and every exception it raised has a recorded answer.
Open scenarios with a named owner and a decision	None recorded in the assessment (4 open).	Each selected, deferred with a reason or accepted at the right level.

Management conclusion

On its own answers, Fictional Retail Group (overstated confirmations) reports the controls in place for 102 of 106 fraud scenarios and a control reported as a gap in 4, across 4 areas. Before the reported position is relied on, management should settle the answers for 1 scenario and answer the 5 open questions. MK has not approved a readiness method, so this report draws no readiness conclusion and does not rank fraud risks; the order of the remaining work is management's decision, and the supporting register lists every scenario, control and record behind this report.

This report is based on the organisation's own answers to the MK Fraud Readiness review, given by the respondent and the accountable functions named in it, and read against the draft review method, which MK has not yet approved. MK has not independently tested whether controls operate in practice, and no evidence was reviewed; evidence review is a separate Advisory service. The records named in this report are records management should maintain; MK has not requested or examined them. TEST FIXTURE: hypothetical research value (scoring-frame simulation, Option A, midpoint, equal areas, no caps). Not an approved score, band or rating.